

nication solutions firm, has allowed Tejas to expand its competencies in related high-growth segments such as 5G O-RAN, 5G direct-to-mobile broadcast and satellite-IoT as well as semiconductor chip design. “We believe we will have a very comprehensive portfolio of end-to-end telecom products, in-house expertise on software, hardware as well as chip design,” says Nayak.

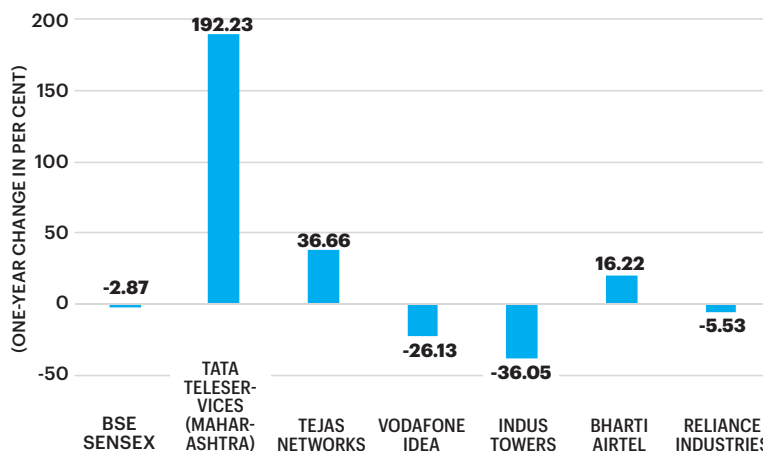
The enterprise business is likely to be dominant in the 5G scheme of things. “As 5G finds use cases majorly in IoT (Internet of Things), gaming, cloud computing, logistics, automobile and healthcare industries, the telcos are expected to increase focus on the enterprise business,” says Murkute. “Major use of 5G is expected to be seen in the gaming industry and for increasing connectivity and efficiency of processes through automation.”

Harjit Singh, CEO of Tata Teleservices, which offers voice, data, cloud and managed solutions, plus allied services such as collaboration, security, and software-as-a-service (SaaS), points out how both digital native companies as well as large businesses with legacy technology have been aligning their customer-focussed models with artificial intelligence (AI), machine learning (ML) and data analytics along with cloud infrastructure to serve as the backbone for all transformational technologies. “We are amongst the first companies in the enterprise segment to launch solutions and offerings with a key focus towards the small- and mid-sized business segment in India,” he says.

However, some companies are struggling. Tata Communications, a provider of communication, mobility, connected solutions, network and data centre services, saw its revenue momentum hurt by global macro events. And Vodafone Idea and mobile tower installation company Indus Towers continue to

MIXED SIGNALS

Although most telecom players have done well financially in the past year, the same has not reflected in their stock returns



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scramble for funds. “High balance sheet debt due to 5G investments, a continuation of poor return on capital employed (ROCE) as tariffs are still too low and poor funding position are hurting Vodafone Idea and Indus Towers,” says Ambit Capital’s Subbaraman. Cautions HDFC’s Jasani: “High payouts for spectrum auction and capex for setting up 5G telecom towers could strain the cash flows of the telecom companies unless there is a commensurate increase in subscriber base and usage, and increase in tariffs.”

While the telcos’ stand on the tariff for 5G services remains ambivalent, tariff hikes in the coming nine to 12 months seem imminent due to the prevalent low average revenue per user (ARPU) and increasing capex requirements for 5G. “The announcement of reforms has also paved the way for a conducive investment environment and thus raising capital is likely to be less challenging than before. The telecom tower companies are also witnessing increased interest from

private equity players, which is likely to facilitate capex roll-out,” states Murkute. In CareEdge Ratings’ opinion, the key elements of medium-term growth strategy will encompass a mix of tariff hikes, increased capex outgo by telcos as well as sub-sector companies, larger focus on expanding the enterprise business segment with diversified clientele, and a target of higher rural coverage.

Financially resourceful operators may also closely explore options in the satellite communications segment. Already, Elon Musk-founded SpaceX’s Starlink has applied for a Global Mobile Personal Communications by Satellite Services (GMPCS) licence with DoT. Bharti Enterprises-backed OneWeb, Reliance Jio Infocomm, Tata group’s Nelco, Canada’s Telesat and Amazon are also looking to offer GMPCS services in the country’s potentially \$13-billion worth broadband-from-space market. **BT**

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